

JSW Energy Ltd (JSWENERGY)

Sector: Energy

ROE

8.3%

ROCE

7.2%

D/E

1.52x

OPM

46.9%

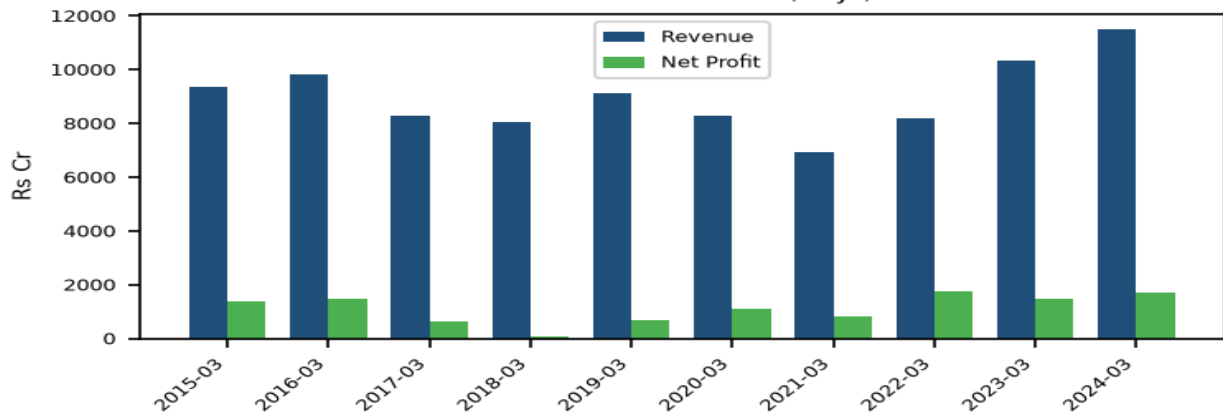
Revenue CAGR 5yr

4.7%

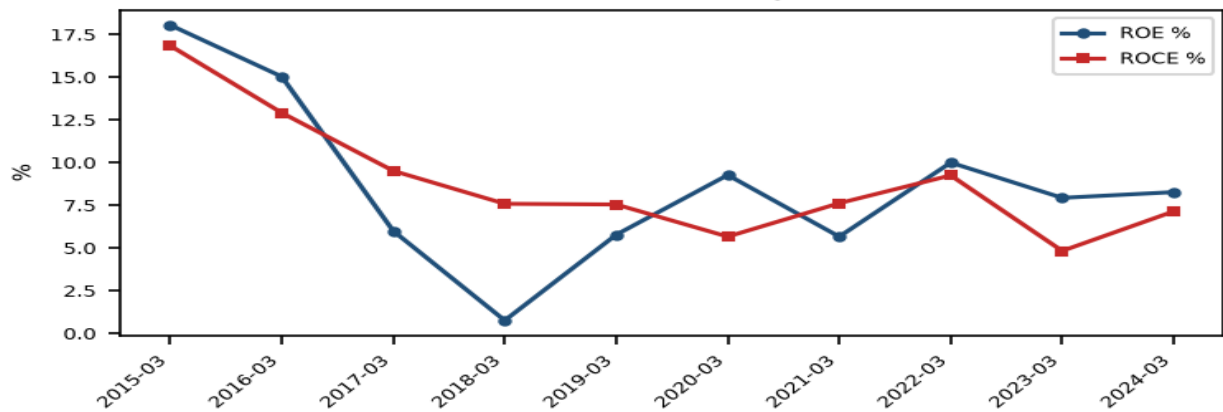
Free Cash Flow

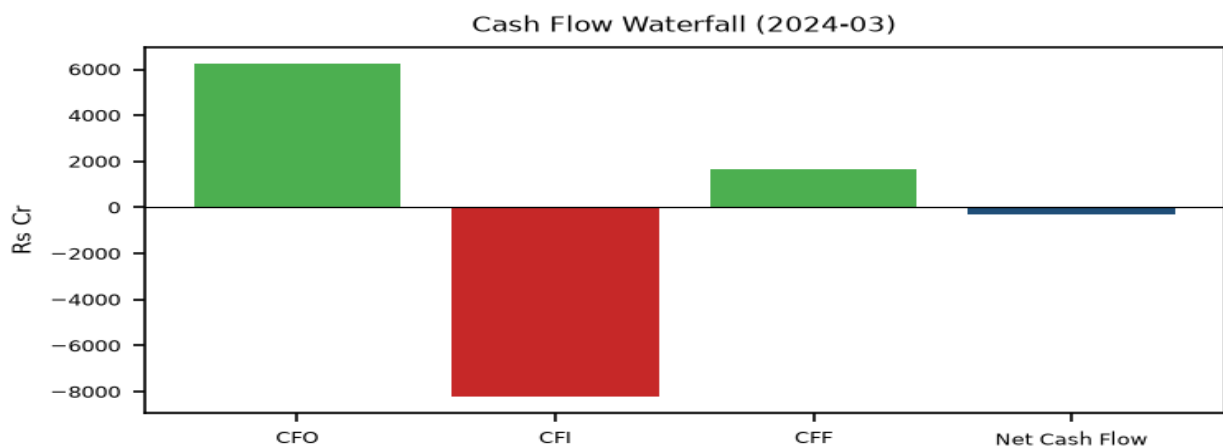
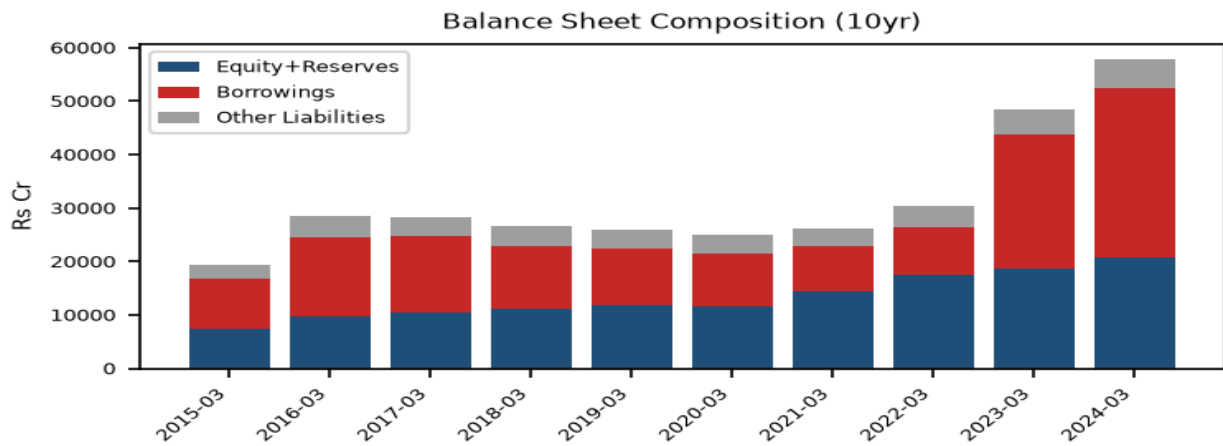
Rs -1,963 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Mixed